

BlackRock, Inc. NYSE: BLK

One Asset, Two Lenses

An Investment Thesis & Intrinsic Value Assessment

W.H. Blackburn · April 2026

HOLD	Target \$906	Price \$1,085	to fair value -16.5%	Accumulate <\$900
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AUM \$14.0T	2025 NET FLOWS \$698B	ADJ. OP. MARGIN 44.1%	ALADDIN ASSETS ~\$25T	MARKET CAP ~\$168B	TTM P/E ~26×
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The thesis, in one paragraph

BlackRock is two companies wearing one ticker. Valued as a **rate-sensitive asset manager** — a levered claim on the level of global markets — it is worth about **\$825** a share. Valued as a **platform compounder** — an ETF utility fused to a software franchise (Aladdin) and a book of private-market and infrastructure cash flows that don't move one-for-one with equities — it is worth about **\$906**. The evidence leans toward the platform lens: in the 2022 drawdown, operating income fell ~13% against a ~19% market decline — not the signature of a plain beta machine. But a better company is not the same as a better price. At \$1,085 the market has adopted a third, more generous lens than either of mine, and it is paying for a durability in private credit that BlackRock's own March 2026 decision to gate ~\$1.2B of redemptions has just called into question. I rate the shares **HOLD** with a trim bias and become a buyer in the high-\$800s, where the two lenses converge.

Variant perception — where I sit vs. the Street

CONSENSUS	MY VIEW
The Street rates BLK Buy, with targets clustered ~\$1,150-1,250.	I sit below the Street and below the current price. My edge is caution where consensus is comfortable.
A premium multiple is deserved; private-market cash flows are durable.	Directionally I agree on quality — but the market is pricing a durability the March 2026 redemption gate has not yet earned.
Aladdin merits a software-style valuation.	Aladdin is real and underpriced by skeptics, but at ~12% of operating income it does not yet move the consolidated multiple.
Record flows confirm the compounding story.	Much of "flows" is market beta in disguise; a drawdown reverses a chunk of it.

Risk asymmetry

BULL	~\$1,147 (+6%)	Management's \$35B 2030 revenue path executes; Aladdin re-rates toward a software multiple.
BASE	\$906 (-16.5%)	Platform lens holds; fee engine compounds; private markets normalize through-cycle.
BEAR	~\$825 (-24%)	Rate-sensitive lens dominates; the AUM cycle and private-credit stress overwhelm the platform premium.

*The skew is unfavorable at today's price: roughly **+6% to the bull** against **-24% to the bear**. You are not paid to reach for this one above \$1,000.*

Core Narrative

The valuation, stripped to its argument.

I. The two lenses

Every BlackRock valuation begins with a choice the analyst makes before the first cell of the model: which company is this? There are two defensible answers, and the distance between them is the whole investment case.

The first lens is the **rate-sensitive asset manager**. Roughly two-thirds of revenue is still tied to assets under management, so the top line tracks markets rather than GDP. A 20% equity drawdown removes a large slice of fees almost mechanically, and a rising discount rate compresses the value of those fees twice over — once through the market they ride on, once through the cost of equity itself. Calibrate the model this way — asset-manager multiples, a beta near the market, discount rates that respect the cycle — and BlackRock is worth roughly **\$825 a share**.

The second lens is the **platform compounder**. Bolt Aladdin — a risk-and-portfolio operating system with ~98% client retention and annual contract value approaching \$2B — onto the largest ETF distribution engine in the world, then add the private-credit (HPS) and infrastructure (GIP) cash flows acquired in 2024, and the earnings stream changes character. A growing share of profit now comes from places the AUM cycle reaches only weakly: contractual software revenue, direct-lending spreads, decades-long infrastructure fees. Value *that* company — a premium to asset managers, a discount to pure alternatives — and you get about **\$906**.

Same 10-K. Same ticker. A roughly **\$130-per-share disagreement** that comes entirely from the lens you bring.

II. The crux

The framework earns its place because it collapses a sprawling valuation into one question: ***what fraction of BlackRock has actually escaped the cycle — and is the market paying for more escape than has been proven?*** My answer has two halves. The platform lens is closer to the truth than the rate-sensitive one. But at today's price the market has gone a step further than I will, pricing the company above even the compounder valuation. The rest of this note defends both halves with evidence rather than adjectives.

III. Adjudicating the lenses

Aladdin — the strongest card for the platform lens

Aladdin's economics resemble financial infrastructure more than asset management. Revenue is contractual and workflow-embedded: large asset owners do not use Aladdin as an analytics tool on the side, they run portfolio construction, compliance, liquidity, risk aggregation, and regulatory reporting through it, which makes switching costs far higher than for ordinary software. The Preqin acquisition extends this into private-market data, pushing Aladdin toward a system-of-record rather than a point solution — which is why partial comparison to Bloomberg, MSCI, and exchange operators is fair.

The honest caveat, and the one bulls skip: Aladdin is still only ~12% of operating income, and Q1 ACV growth of +14% is a touch slower than the +16% organic pace cited a year ago. That is enough to **lower consolidated cyclicality and justify a moderate premium**. It is not enough to hang a wholesale software multiple on the entire company. The analyst who slaps 30×

forward earnings on all of BlackRock because part of it is Aladdin is overreaching as badly as the bear who ignores Aladdin entirely.

Private markets — where the platform lens is most exposed

This is the part of the thesis the last ninety days have tested in public. The platform lens leans on HPS and GIP as cash flows that behave like infrastructure — durable, contracted, indifferent to the market's mood. Then, in early March 2026, BlackRock **gated roughly \$1.2B of redemptions** in a private-credit vehicle. Gating is what funds do, not what toll roads do.

It does not invalidate the private-markets thesis — demand for direct lending and infrastructure is structural, and the migration of corporate borrowing out of bank syndicates is real. But it is a live reminder that “infrastructure-like” cash flows can still behave like a fund when liquidity tightens, and the market is currently paying for the toll-road version. This is precisely why I carry HPS at a normalized, through-cycle FCFE rather than at its peak: the right posture is to credit the franchise and discount the durability until it survives a real liquidity squeeze.

The 2022 stress test — hard evidence for lower cyclicity

The most persuasive single data point for the platform lens is not a multiple; it is a behavior. In 2022, with the S&P down ~19%, BlackRock's operating income fell ~13% — an elasticity near **0.69×**, well below the ~1.85× a full operating-leverage overlay would predict. One year is not a beta, and I will not pretend it is. But it is direct evidence that the consolidated earnings stream is less market-levered than a pure asset manager's — exactly what the platform lens claims, and exactly what the rate-sensitive lens denies.

What the peers say

BlackRock trades around 16× EV/EBIT — a clear premium to the ~11× pure-play asset-manager median, and a discount to the ~20× broader I&AM median once alternatives like KKR enter the set. That is the market doing in multiples exactly what the two-lens framework does in words: pricing BlackRock as a hybrid. Its ~7× EV/Sales looks rich until you set it against a ~44% operating margin — roughly double the peer median — which is what EV/Sales is supposed to reward. The relative picture neither screams cheap nor expensive; it corroborates the SOTP's modest overvaluation.

IV. Where the market is standing

Put the two intrinsic reads on a number line — \$825 and \$906 — then add the Street's ~\$1,150–1,250 targets and a ~\$1,085 price. The market is not choosing between my lenses; it has adopted a third, more optimistic one. Q1 2026 gave it reason to: \$130B of quarterly inflows, \$744B over the trailing year, 10% organic base-fee growth (the best first quarter in five years), Aladdin ACV +14%, and adjusted margins up over 100 basis points. This is a business visibly accelerating, and the bull is not imagining things.

But three things sit on the other side of the ledger. The acceleration is **already in the price**. The rate backdrop has turned against the AUM book — the 10-year near 4.3% and a Fed in no hurry to cut, with the market pricing *higher-for-longer*. And the private-credit cracks argue for more conservatism on exactly the cash flows the premium depends on. At \$1,085 you are paying full price for the optimistic case while the marginal new evidence is mixed.

V. Market-Implied Expectations (Reverse DCF)

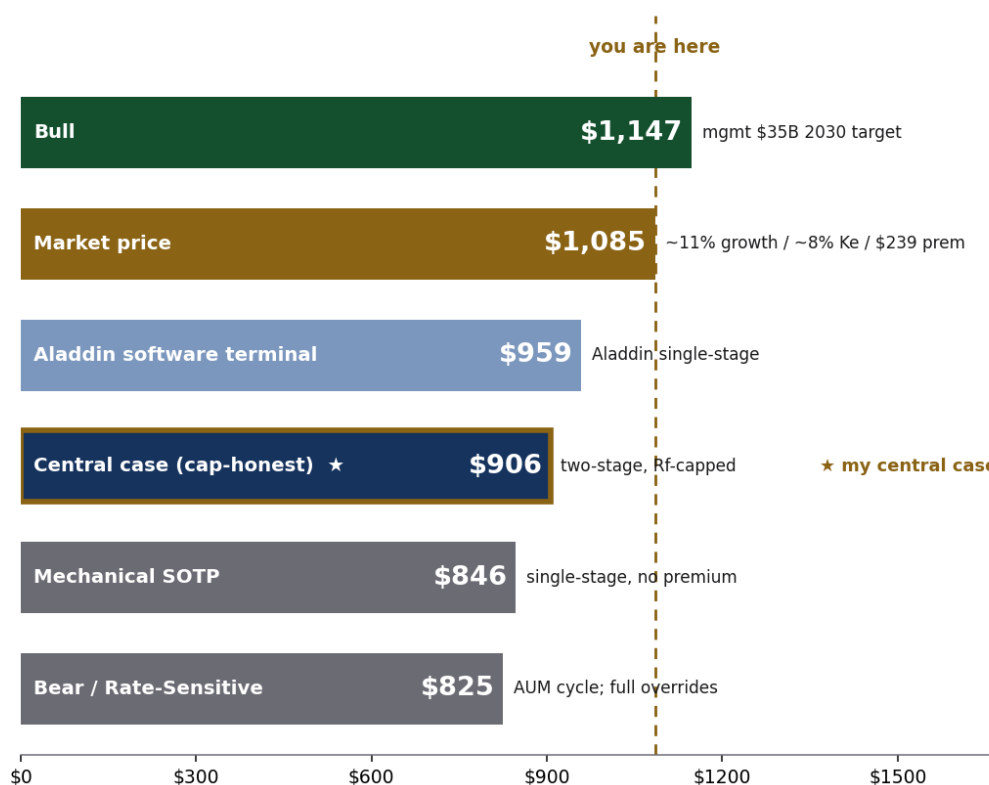
The intrinsic work says what BlackRock is worth; it does not say what the market is paying for. Following Mauboussin & Rappaport, I invert the model — holding the cap-consistent structure

fixed and solving for the expectations embedded in the \$1,085 price. The market capitalizes BlackRock roughly **\$177 a share (~\$27.5B) above the \$906 central case**. That premium is justified only if one of three things is true: iShares FCFE compounds at ~11% for five years (versus the ~6.5% my franchise analysis supports); the blended cost of equity is ~8.1% rather than 8.9% (the market treating BlackRock as materially more durable than its segment betas imply); or the franchise premium is ~\$239 a share rather than the ~\$62 my cap-honest model assigns. Framed as scenarios, the price embeds roughly a **74% probability of the bull case over the base**.

None of these is implausible — but each requires the platform flywheel to compound at a rate that recent evidence, particularly the March 2026 private-credit gating, has not confirmed. The market is not mispricing BlackRock so much as *pre-pricing a durability that remains unproven*. A probability-weighted expected value across the bull, base, bear, and tail scenarios lands at roughly \$877–\$930 a share — in every case below the prevailing price, which is what tips the central-case HOLD toward a modest trim bias at current levels.

The Expectations Ladder

What you must believe to justify each price per share



The expectations ladder — each rung is the belief required to justify that price. The market sits above even the single-stage Aladdin read.

VI. What would flip the lens

Convictions should be falsifiable, so here are mine, stated as triggers rather than feelings.

Toward the platform lens, and a BUY: price into the high-\$900s, restoring a margin of safety; or two consecutive quarters showing private-credit cash flows holding through a genuine liquidity squeeze rather than gating against it.

Toward the rate-sensitive lens, and a SELL/TRIM: organic base-fee growth rolling below ~5%; Aladdin ACV decelerating below the mid-teens; private-credit losses materializing; or the stock pushing above ~\$1,150 on no fundamental change.

Catalyst calendar (next 12–24 months)

WHEN	EVENT	WHY IT MOVES VALUATION	WEIGHT
Jul 21, 2026	Q2 2026 earnings	Flow durability; first read on private-credit redemption commentary	High
Quarterly	Aladdin ACV prints	Confirms or breaks the platform thesis; watch the sub-mid-teens line	High
Quarterly	Private-credit redemptions / marks	The live debate — do HPS cash flows hold through stress?	High
FOMC dates	Fed rate path	Direct discount-rate and AUM-cycle impact	High
Ongoing	GIP AUM toward \$150B	Validates the infrastructure-fee leg of Lens B	Medium

VII. Recommendation

HOLD with a trim bias, \$906 target. For existing holders, the franchise is durable and the gap to fair value reflects discount-rate and price dynamics, not business deterioration — hold through volatility. For new capital, discipline pays: the high-\$800s is where the two lenses converge and the risk/reward turns favorable — a pullback the stock has not offered in the past year (the 52-week low is ~\$917), but the one worth waiting for.

Above ~\$1,000	Trim — price sits well above the \$906 central case.
\$900 – \$1,000	Hold; trim into further strength.
\$850 – \$900	Accumulate on confirmation of Aladdin ACV or HPS scaling.
Below ~\$825	Buy aggressively — at or below the rate-sensitive floor.

VIII. How the \$906 is built

Sum-of-the-parts, each segment discounted at its own cost of equity and grown at its own terminal rate (Gordon Growth), with corporate adjustments applied last. The full model — inputs, sensitivity grid, and the bridge to the \$825 rate-sensitive lens — accompanies this note as an Excel workbook.

SEGMENT	FCFE	g	Ke	Value	\$/sh
iShares & Public Markets	\$5.79B	3.0%	8.50%	\$108.4B	\$699
Aladdin Technology (prob-weighted)	~\$0.58B	8.0%	11.25%	\$19.1B	\$123
GIP Infrastructure	\$0.25B	5.0%	10.00%	\$5.2B	\$34
HPS Private Credit	\$0.29B	4.0%	10.00%	\$5.0B	\$32
Gross segment sum				\$137.7B	\$888
Less: net debt				−\$3.5B	−\$23
Less: co-invest capital drag				−\$3.1B	−\$20
Plus: iShares operating-leverage overlay				+\$17.8B	+\$115
Less: Aladdin terminal-cap adjustment				−\$7.8B	−\$50
Less: GIP terminal-cap adjustment				−\$0.4B	−\$3
Net SOTP — Platform Compounder lens				\$140.7B	\$906

R_f = 4.30% (10Y UST, May 2026); blended ERP 5.40% (geographic-weighted, Damodaran Apr 2026); 155M shares. The +\$115 iShares overlay is the platform premium; the Aladdin and GIP terminal-cap corrections (−\$53 combined) hold every segment to a terminal rate at or below R_f — the distinction between the \$906 cap-consistent central case and the \$959 single-stage upper bound. Strip the overlay and the conservative read lands near the \$825 rate-sensitive value.

This document is an academic exercise and does not constitute investment advice. Market data as of April 2026; figures from BlackRock 2025 and Q1 2026 filings, Federal Reserve H.15, and the Damodaran January/April 2026 datasets.